

Amazon.com, Inc.

AMZN NASDAQ

Buy	\$247.36 ▼ 1.05%	12M Price Target \$295.00	52-Week Range \$196.00 – \$278.56	Market Cap \$2.66T
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AMZN: Trainium Chips Quietly Chipping Away at Nvidia

WHAT HAPPENED

- AMZN down about 1% on tiny volume (5.4M vs normal 40M+) — this is a sleepy summer Tuesday, not real selling. The Yahoo strategist piece calling for retiring the "Magnificent 7" label is actually bullish subtext: it means people are realizing these names aren't moving as one anymore, and AMZN's story (chips + ads + AWS) is diverging from Apple/Tesla.
- The Trainium chip story is the real news. Amazon's in-house AI chips are reportedly winning workloads from Nvidia into 2027 — if true, that's a massive margin story because AWS stops paying Nvidia's 70%+ gross margin tax.

WHY IT MATTERS

Here's what's actually going on: the tech sector was up 1.76% today but AMZN was down — that's a mini-divergence worth noting. It probably means money is flowing to Nvidia and pure-play AI hardware ahead of earnings season, while AMZN gets treated as a "boring" mega-cap. That's usually the setup right before AMZN catches up — the Trainium narrative is the catalyst that could force a re-rating. Watch AWS growth in the next earnings print: if it prints above 19%, the chip story becomes real to Wall Street, and this stock breaks \$260 fast.

POLICY & POLITICAL WATCH

Two big things on the political radar: (1) The expanding Iran conflict is a wildcard — Big Tech cloud infrastructure is now considered critical national security, which could actually mean MORE government cloud contracts for AWS (tailwind), but also more cyber-target risk. (2) The de minimis tariff loophole closure (packages under \$800 from China getting hit with duties) is quietly helping Amazon's retail business because it kneecaps Temu and Shein — that's a real margin tailwind nobody's pricing in. Also watch the FTC antitrust case that's still grinding along; a settlement (not a breakup) is increasingly likely and would remove an overhang.

IS IT EXPENSIVE?

At \$247, you're paying about 36x next year's earnings — meaning \$36 for every \$1 of profit expected. That sounds pricey, but AWS alone is probably worth \$1.5T if you spin it out at cloud peer multiples, which means you're basically getting the world's largest e-commerce business plus a \$60B ads business for "free." Compared to Microsoft at 32x with slower growth, AMZN's actually reasonable if you believe Trainium delivers.

WHAT COULD GO WRONG

- If the Iran situation escalates into oil supply disruption, consumer discretionary spending tanks and Amazon's retail arm takes a direct hit — Cons. Disc. ETF is already down 0.88% over 5 days, that's the early warning.

Key Data

Price (USD)	\$247.36
12M Price Target	\$295.00
Upside / (Downside)	+19.3%
Market Cap	\$2.66T
FY2026E Revenue	\$715M
FY2027E Revenue	\$790M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.20
Fwd P/E	36.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$265.00	\$252.00	\$235.00
6 Months	\$290.00	\$270.00	\$225.00
1 Year	\$320.00	\$295.00	\$215.00
2 Years	\$380.00	\$335.00	\$220.00
5 Years	\$550.00	\$425.00	\$250.00
10 Years	\$900.00	\$650.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+1.76% today) is bouncing on AI enthusiasm and the possibility that rate cuts return to the table. Energy (+1.98% over 5 days) is riding the Iran premium.

COOLING OFF: Consumer Discretionary (-0.88% over 5 days) is warning about consumer health — this matters for AMZN's retail side. Industrials also soft, suggesting economic slowdown fears.

ROTATION WATCH: Money is flowing from broad Mag 7 into specific AI winners (Nvidia, hyperscalers with chip stories). AMZN sits in both camps — that's why it's not moving with either.

RELATED PLAY: If you believe the Trainium story, the second-order winners are TSMC (they fab the chips) and the data center power names like Vistra and Constellation Energy — AI needs electricity and AMZN is a massive buyer.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI trade of record, sucking up flows ahead of earnings — ironic given the Trainium threat story.
- GOOGL (Alphabet): Ad market recovery + their own TPU chip narrative mirrors what AMZN is doing with Trainium.

AMZN CONTEXT: AMZN is lagging its mega-cap tech peers this week, which is exactly the setup value-conscious buyers look for. Options flow tells the real story — heavy bullish call buying at \$185-195 strikes (way below current price, so these are likely rolled/hedge positions) alongside a bullish 0.80 put/call ratio suggests smart money is positioned long. When AMZN lags then catches up, moves tend to be sharp.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Not pounding the table, but this is one of the cleanest risk/reward setups in mega-cap tech right now given the chip optionality.

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough that a 20% drawdown doesn't ruin your year.

ENTRY POINTS: Current levels (\$247) are fine to start; add aggressively on any pullback to \$235-240 which lines up with the 200-day average.

TIME HORIZON: 12-24 months — the catalysts are Q3 earnings (AWS growth number), any Trainium customer wins, and antitrust resolution.

WHEN TO BAIL: If AWS growth decelerates two quarters in a row, or if the FTC pushes for structural breakup rather than settlement — those change the thesis materially.

HEDGING: Simplest hedge is buying put options 10% below current price expiring in 6 months — think of it as insurance that pays off if the stock crashes. Costs you maybe 2-3% of your position value but lets you sleep during Iran headlines.